

gains. So he sells the stock, only to buy it back the next day. Let's say Jones has a 33 percent combined tax liability at the federal and state levels. Smith, by contrast, lets the stock ride.

At the end of 18 years, let's say they both sell their shares for good and they both pay their taxes. Smith now has 3.4 times more than Jones.

Taxes matter, and 100-bagger investing is tax-efficient.

So, back to these 100-baggers.

Remember, you need growth — and lots of it — a fact I will repeat again and again. Ideally, you need it in both the size of the business and in the multiple the market puts on the stock, as we've seen — the twin engines, as I call them.

This means you can't buy a utility stock or large mature company — such as McDonald's or Walmart or IBM — and expect anything close to a 100-bagger anytime soon (if ever). Finding what will become a 100-bagger is as much about knowing what not to buy as it is about knowing what to buy. The universe of what won't work is large. Knocking out huge chunks of that universe will help make your search for 100-baggers easier.

So, with that groundwork, we are now ready to look at the 100-baggers of the last 50 years — actually 52 years, but 50 has a nicer ring to it — and begin to answer the tough question “How can we find the next 100-baggers?”

Let's begin with some highlights on this 100-bagger population of 365 I've turned up using data from Compustat (which goes back as far as 1962).

The first thing I'd impress upon you is the tremendous diversity in the names. (You'll find the entire list and the companies' total returns in the appendix.) For example, here are the top 10 performers on the next page:

	Data	Total	Year to
Company Name	Date	Return	100
Berkshire Hathaway	9/30/65	18,261	19.0
Kansas City Southern	12/31/72	16,931	18.2
Altria Group Inc	12/31/62	15,120	24.2
Wal-Mart Stores Inc	10/31/70	12,382	12.5